

Vendor Qualification and Evaluation

Document Information

- **Document Number:** PROC-012
 - **Title:** Vendor Qualification and Evaluation
 - **Version:** 2.4
 - **Effective Date:** March 1, 2026
 - **Owner:** Supplier Relationship Manager
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1. Purpose

This procedure defines the process for qualifying new vendors and evaluating existing vendors to ensure that Acme Corporation engages with suppliers that meet quality, reliability, compliance, and financial stability requirements.

2. Scope

Applies to all vendors supplying goods or services to Acme Corporation, including direct materials, indirect materials, and services providers.

3. Definitions

- **Approved Supplier List (ASL):** Registry of vendors that have completed qualification and are eligible to receive purchase orders.
- **Vendor Questionnaire:** Standard assessment form covering capabilities, certifications, financial health, and compliance.
- **Supplier Scorecard:** Quarterly performance measurement tool covering quality, delivery, cost, and service.
- **Corrective Action Request (CAR):** Formal request for supplier to address performance deficiencies.

4. Vendor Qualification Process

4.1 Initial Screening

When a new vendor is identified, the Buyer shall collect the following minimum information: - Company registration and tax identification - Product or service catalog - Quality certifications (ISO 9001, AS9100, IATF 16949 as applicable) - Financial statements (last two years) - Insurance certificates - References from three current customers

4.2 Vendor Questionnaire

The Buyer shall issue the Vendor Questionnaire to the prospective supplier. The completed questionnaire shall be reviewed by the Procurement team within 10

business days. Incomplete submissions shall be returned for resubmission.

4.3 Quality Audit

Vendors of direct materials and critical services shall undergo a Supplier Audit conducted by the Quality or Procurement team. The audit shall assess: - Quality management system - Production capability and capacity - Inspection and testing processes - Non-conformance management - Calibration and maintenance practices - Environmental, health and safety practices

4.4 Financial Assessment

A financial health check shall be performed on all vendors with annual spend potential exceeding \$100,000. The assessment shall include credit rating review, D&B report analysis, and payment history verification.

4.5 Approval Decision

The Procurement Manager shall approve or reject the vendor based on the combined assessment. Approved vendors shall be added to the Approved Supplier List with a qualification score. Rejected vendors may reapply after six months.

4.6 Provisional Approval

Vendors may be granted provisional approval for a period of 90 days to allow for pilot orders. Full approval is granted upon successful completion of the pilot period.

5. Vendor Evaluation Process

5.1 Performance Monitoring

All approved vendors shall be monitored continuously using the following metrics: - **Quality:** Defect rate, first-pass yield, PPM (parts per million) defects - **Delivery:** On-time delivery rate, lead time compliance - **Cost:** Price competitiveness, cost reduction initiatives - **Service:** Responsiveness, communication, problem resolution

5.2 Supplier Scorecard

A Supplier Scorecard shall be issued quarterly for all active vendors. The scorecard uses a weighted scoring system: - Quality: 30% - Delivery: 25% - Cost: 25% - Service: 20%

5.3 Rating Categories

Score	Rating	Action Required
90-100	Preferred	Maintain relationship
75-89	Approved	Regular monitoring
60-74	Conditional	Improvement plan required
Below 60	Under Review	Corrective action or removal

5.4 Corrective Action

Vendors scoring below 74 shall receive a Corrective Action Request (CAR). The vendor must submit a root cause analysis and corrective action plan within 15 business days. Failure to resolve within 90 days may result in suspension or removal from the Approved Supplier List.

6. Annual Review

Each vendor shall undergo a comprehensive annual review covering all qualification criteria. The review shall be documented and filed in the vendor master record.

7. Related Documents

- PROC-001: Procurement Policy Overview
- PROC-055: Supplier Code of Conduct
- PROC-042: Contract Management Procedure
- QA-SOP-005: Supplier Quality Audit